

As of April 2007, six major universities (St. John's, Syracuse, Fordham, New York University, University of Pennsylvania, and Long Island University) agreed to over \$3 million in reimbursements to students because of the revenue sharing agreements they had with the private student loan agencies. Obviously these students were not getting the best deal.

Keeping with my motto that knowledge is power, let me give you a little back-to-school primer on the student loan industry. This is one of those areas where you want to look before you leap, and bring your reading glasses. Read the fine print before you sign anything. The money director at the school will shove a bunch of papers in front of you and say, "Okay, here's your 'financial assistance' package. Sign here." Who knows what you could be signing? They don't tell you that you can shop around for the best rates and that everything is negotiable.

Federally Guaranteed Loans

You can get federally backed student loans (which is what you want; we'll discuss why in a minute) through the Department of Education or companies like Sallie Mae. These federal loans usually do not cover the entire amount needed, so many people need to get additional funds by taking out a private student loan. When you look at the cost of tuition and the number of students enrolling in college, it is no surprise that the largest growth area in the debt market is private student loans. It is big business, with a capital B.

Federally guaranteed loans are the most desirable. They offer the best interest rate and the best terms. You get the loan at cost, and no private company is making extra bucks off you or passing a secret buck to a double-dealing pal. Over 6 million federal student aid applications are processed online each year to get a piece of the \$67 billion that the Department of Education gives out in loans, grants, and student aid. For information, call 1-800-4-FED-AID (1-800-433-3243) or go to www.ed.gov.

Let me give you a quick overview of federal student loans. The basic student loan is the Stafford loan. There are two types that fall under this umbrella. The Federal Direct Student Loan Program (FDSLP) are government direct loans to students. The Federal Family Education